

Financial Market Inflation Expectations

— 2/2025



Czech National Bank — Financial Market Inflation Expectations — 2/2025

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I. SUMMARY

Thirteen domestic and three foreign analysts once again contributed to the February survey of financial market inflation expectations. The results show that analysts expect a slower pace of inflation at the one-year horizon, against a backdrop of lower-than-expected economic growth this year and the next. In addition, the prevailing opinion is that the CNB Bank Board will not change key interest rates at its March meeting. The forecast for the CZK exchange rate has not changed fundamentally, there has only been a cosmetic readjustment in line with recent trends on the foreign exchange market. The average estimate of wage growth this year and the next remained at the January levels.

DOMESTIC ANALYSTS	I.	II.	III.	IV.	V.	VI.	VII.	VIII.	IX.	X.	XI.	XII.
Jiří Polanský, Česká spořitelna	+	+										
Jan Vejmělek, Komerční banka	+	+										
Patrik Rožumberský, Unicredit Global Research	+	+										
Helena Horská, Martin Kron, Raiffeisenbank	+	+										
Petr Dufek, Banka CREDITAS	+	+										
Petr Sklenář, J&T Banka	+	+										
Radomír Jáč, Generali Investments CEE	+	+										
David Havrlant, ING	+	+										
Kamil Kovář, Moody's Analytics	+	+										
Jan Kudláček, Tomáš Lébl, Patrick Vyroubal, UNIQA	+	+										
Jaromír Šindel, ČBA												
Lukáš Kovanda, Trinity Bank	+	+										
Michal Šoltés, RoklenFin	+	+										
Martin Janíčko, MND	+	+										
Jan Bureš, ČSOB												
FOREIGN ANALYSTS												
Piotr Kalisz, Citi	+	+										
Basak Edizgil, Goldman Sachs	+	+										
Sili Tian, The Economist Intelligence Unit												
Jose A. Cerveira, JP Morgan	+	+										

We would like to thank everyone who contributed to this survey of financial market inflation expectations.

Prague, 25 February 2025

II. INFLATION

FORECAST FOR Y/Y CPI GROWTH

(%)

February 2025	CPI	
	1Y	3Y
minimum	1.6	2.0
average	2.2	2.1
maximum	2.7	2.5

1Y AND 3Y FORECAST FOR CPI GROWTH

(%)

Date of Prediction	ANALYSTS		CNB (%)
	1Y	3Y	1Y
II.24	2.4	2.3	1Q: 1.7
IV.24	2.2	2.2	2Q: 1.9
VII.24	2.1	2.1	
IX.24	2.2	2.1	3Q: 1.9
X.24	2.2	2.2	
XII.24	2.3	2.2	4Q: 2.4
I.25	2.3	2.1	
II.25	2.2	2.1	1Q: 2.2

January inflation also brought a surprise, but this time in the opposite direction. The consumer price index rose by 2.8% year on year in the first month of this year, 0.2 percentage point less than in December, but more than the consensus estimate, which had expected a more pronounced slowdown. Goods rose by 1.7%, while services rose by 4.7%. Consumer prices rose by 1.3% month on month, reflecting high growth in prices for food, especially for fruit and vegetables, as well as alcoholic beverages. Goods prices increased by 1.5% month on month, and services prices rose by 1.0%.

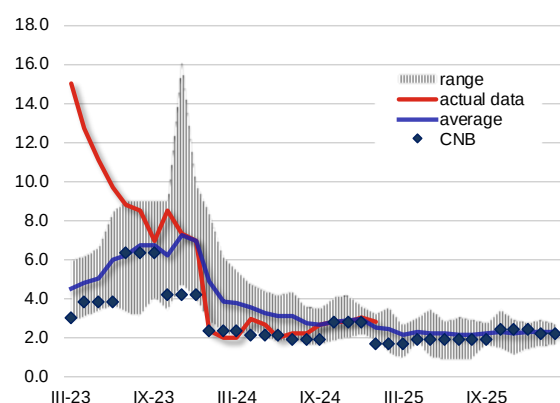
The analysts' view of annual inflation changed only slightly since the previous survey, with the average annual forecast falling by 0.1 percentage point to 2.2%. The range of individual estimates narrowed due to both an increase in the minimum and a decrease in the maximum value. The average estimate remains at the previous level of 2.1% at the three-year horizon. In addition, the upper and lower values of the individual estimates have not changed.

Analysts expect headline and core inflation to remain within the tolerance band around the central bank's inflation target. According to estimates, it will likely remain close to the upper boundary of this band this year. An important source of uncertainty with a relatively large impact is the volatility of food prices, which could be inflationary. Price growth in services is expected to slow gradually. Inflation should also be in the upper part of the tolerance band next year, but close to the inflation target. The trade disputes between the USA and the EU are seen as a two-sided risk to inflation, as potential increases in import tariffs would increase price growth, but a weakening of the German economy due to a decline in sales to the USA could, conversely, have an anti-inflationary effect.

The CNB's winter forecast expects consumer prices to rise by 2.2% year on year in 2026 Q1.

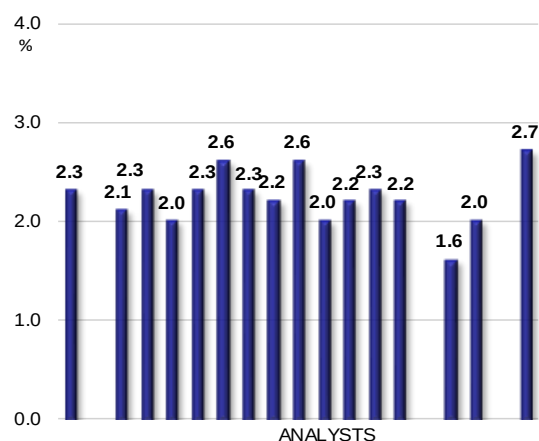
CONSUMER PRICE INDEX

ACTUAL DATA AND 1Y PREDICTIONS OF ANALYSTS (AVERAGE) AND OF CNB (%)



CONSUMER PRICE INDEX AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS (%)



III. GROSS DOMESTIC PRODUCT

FORECAST FOR GDP GROWTH

(%)

February 2025	current year	current+ 1Y
minimum	1.5	1.8
average	2.0	2.3
maximum	2.4	3.0

FORECAST FOR GDP GROWTH

(%)

Date of Prediction	current year	current+1Y
II.24	1.2	2.6
IV.24	1.2	2.6
VII.24	1.3	2.6
IX.24	1.0	2.5
X.24	1.0	2.4
XII.24	1.0	2.0
I.25	2.1	2.4
II.25	2.0	2.3

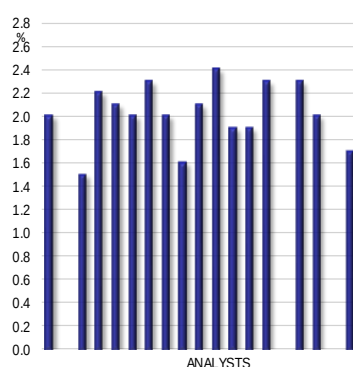
According to the preliminary CZSO estimate, the gross domestic product grew by 1.6% year on year in 2025 Q4. The main contributors were household final consumption expenditures and gross capital formation. By contrast, the foreign trade balance had a negative impact. From a sectoral perspective, trade, transport, accommodation and hospitality were the main contributors to growth in value added, while industry continued to decline. In quarter-on-quarter terms, there was a 0.5% increase in Q4. For the whole of last year, the domestic economy grew by 1.0%, in line with analysts' estimates in our survey. Taking into account the latest macroeconomic data, the analysts' view of GDP growth in 2025 was revised down slightly to 2.0%, which is 0.1 percentage point lower than in the previous survey. The growth rate expected for next year was reduced by the same extent, to 2.3%. The range of estimates of economic growth this year narrowed due to the decline in the maximum value. In terms of the outlook for next year, the range of individual estimates remains unchanged.

Analysts expect Czech economic growth to accelerate further towards 2%. It should continue to be driven mainly by household consumption, which is supported by real wage growth. The decline in inventories should also stop. However, the weak German economy will continue to have the opposite effect. For a more accurate assessment of the domestic economy's performance, however, it will be essential to know its structure, as quarter-on-quarter growth in Q3 was driven mainly by inventories, which can hardly be considered sustainable in the long term. The risks are skewed more towards lower growth. The German economy is an important factor and should recover, but this recovery may be slower than originally expected. As already mentioned, a potential tariff war with the USA could impact the German economy, most likely negatively, affecting the automotive sector in particular.

According to the CNB's winter forecast, GDP will grow by 2.0% in 2025 and accelerate to 2.4% in 2026.

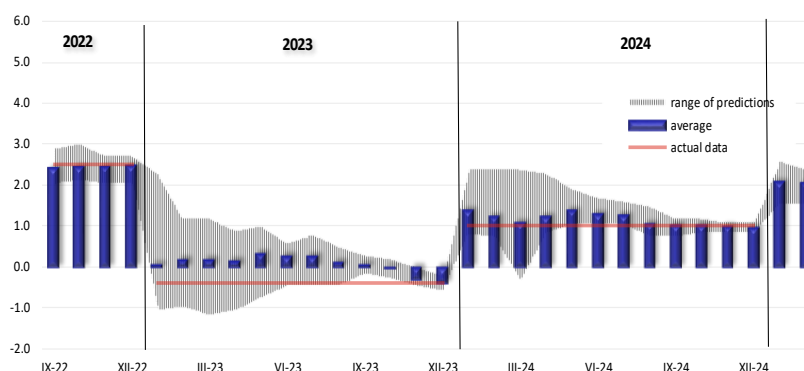
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



GDP GROWTH AT END OF YEAR

AVERAGE AND RANGE OF PREDICTIONS



IV. INTEREST RATES – 2W REPO, PRIBOR, IRS

FORECAST FOR 2W REPO, 12M PRIBOR AND 5Y AND 10Y IRS

(%)

Date of Prediction	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
II.24	5.75	3.66	4.90	3.50	3.41	3.21	3.45	3.27
IV.24	5.29	3.49	4.31	3.47	3.71	3.33	3.81	3.45
VII.24	4.51	3.35	4.21	3.42	3.58	3.45	3.66	3.55
IX.24	4.25	3.36	3.73	3.34	3.29	3.39	3.43	3.50
X.24	4.01	3.25	3.67	3.28	3.38	3.35	3.53	3.50
XII.24	3.95	3.27	3.65	3.29	3.59	3.47	3.70	3.61
I.25	3.80	3.17	3.62	3.35	3.65	3.48	3.84	3.64
II.25	3.70	3.16	3.54	3.31	3.60	3.46	3.75	3.64

FORECASTS: MINIMUM, AVERAGE AND MAXIMUM 2W REPO, 12M PRIBOR, 5Y AND 10Y IRS

(%)

February 2025	2W repo rate		12M PRIBOR		5Y IRS		10Y IRS	
	1M	1Y	1M	1Y	1M	1Y	1M	1Y
minimum	3.50	2.75	3.45	2.75	3.50	2.70	3.60	2.80
average	3.70	3.16	3.54	3.31	3.60	3.46	3.75	3.64
maximum	3.75	3.50	3.60	3.65	3.70	3.85	4.00	3.95

ACTUAL INDICATOR VALUES AS OF FORECAST DEADLINE

(%)

	2W repo rate	12M PRIBOR	5Y IRS	10Y IRS
15.2.	3.75	3.57	3.57	3.71

According to analysts, the CNB Bank Board will decide whether to keep key interest rates at their current level or lower them at its March meeting. The vast majority of the analysts who participated in this year's second survey (13 out of 16) expect key interest rates to remain at the current level after the March meeting of the CNB Bank Board and the 2W repo rate to remain at 3.75%. An important factor should be the CNB's cautious approach, which some believe is more focused on current trends. By contrast, three respondents estimate that monetary policy could be eased further by 25 basis points. However, some analysts who think interest rates will remain stable admit that the prospect of rates falling is similar to the probability of them remaining at their current level. It will depend on new macroeconomic data and other factors, such as economic developments in Germany, trade disputes between the USA and the EU, the koruna exchange rate, central bank policy and inflation for February.

Analysts think that monetary policy easing is not yet over. The 2W repo rate is expected to fall further during the rest of this year and early next year. On average, it is expected to move to 3.16%, practically the same value as in the last survey. Most respondents estimate that the decline will stop at 3%, but many acknowledge the risk that the Bank Board, given its cautious approach and hawkish communications, will end the easing at higher levels (3.25% or 3.50%).

ANALYSTS' FORECAST – 2W REPO RATE LEVEL IN 1Y

(%)

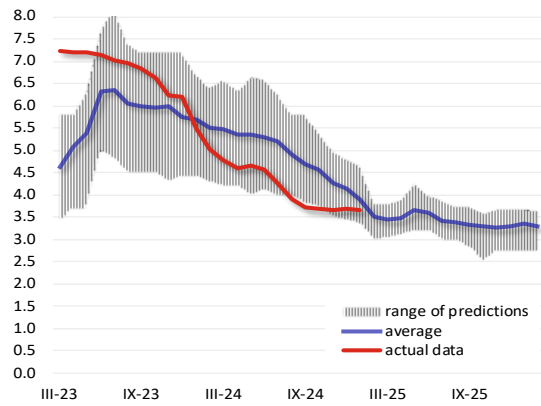
2W repo rate level in 1Y (%)	2.50	2.75	3.00	3.25	3.50	3.75	4.00
number of analysts - current survey	0	2	6	4	4	0	0
-previous survey	0	2	5	5	4	0	0

Interest rates on the money market (12M PRIBOR -12 bps) and derivatives market (5Y IRS -16 bps and 10Y IRS -21 bps) fell, probably as a consequence of further monetary policy easing. The average forecasts in our survey moved in a similar direction, but to a much lesser extent (decline of up to 9 basis points). Given the lower level of the annual forecasts compared to the monthly forecasts, it is apparent that analysts continue to expect a further decline in money market rates over the next twelve months.

The CNB's winter forecast implies a 2W repo rate of 3% in 2026 Q1.

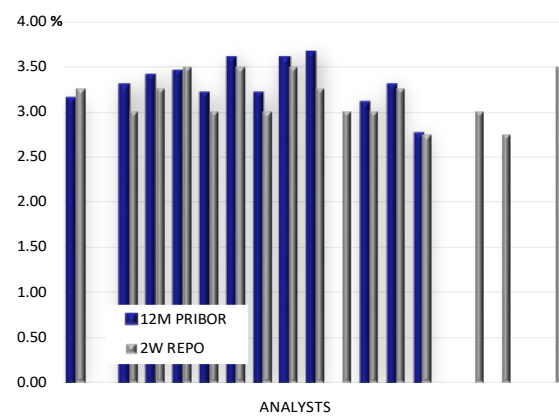
12M PRIBOR AT 1Y

ACTUAL DATA, AVERAGE AND RANGE OF PREDICTIONS



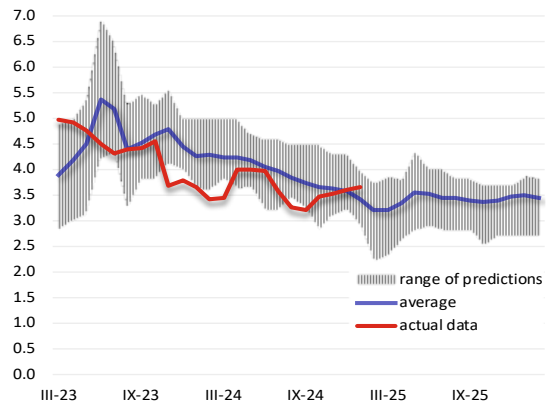
2W REPO AND 12M PRIBOR AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



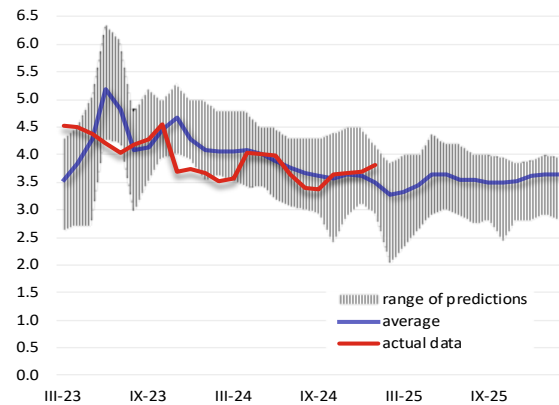
5Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



10Y IRS AT 1Y

AVERAGE AND RANGE OF PREDICTIONS



V. EXCHANGE RATE

1M AND 1Y EXCHANGE RATE FORECAST

	1M	1Y
II.24	25.25	24.78
IV.24	25.28	24.74
VII.24	25.21	24.70
IX.24	25.07	24.75
X.24	25.16	24.62
XII.24	25.08	24.83
I.25	25.18	24.95
II.25	25.13	24.93

EXCHANGE RATE FORECAST

February 2025	EUR/CZK	
	1M	1Y
minimum	25.00	24.35
average	25.13	24.93
maximum	25.30	26.25

ACTUAL EUR/CZK AS OF FORECAST DEADLINE

15.2.	25.05
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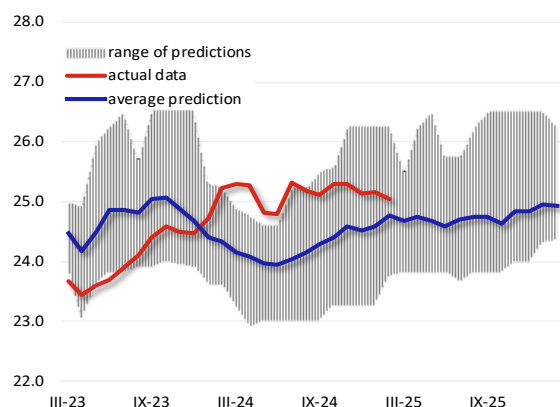
Between mid-January and mid-February, the CZK appreciated by 17 halers to CZK 25.05 to the euro. The same as for other currencies in the Central European region, some commentators believe that receding risk aversion due to hopes for an early end to the war in Ukraine helped the currency. Another factor could be a shift in financial market expectations towards slower interest rate cuts.

The average forecast for the CZK exchange rate again followed the latest trends on the foreign exchange market, meaning it moved to a slightly stronger level. It was up 5 hellers to CZK 25.13 to the euro at the one-month horizon, while it was up 2 hellers to CZK 24.93 to the euro in the case of the annual forecasts. The traditional gradual appreciation trend remains the main scenario. This is based on the CNB's cautious hawkish monetary policy and an improvement in domestic macroeconomic trends, including foreign trade. However, global geopolitical factors represent a risk that could cause a slowdown in appreciation or even a temporary depreciation of the CZK.

The CNB's winter forecast assumes a koruna exchange rate of CZK 25.4 to the euro in 2026 Q1.

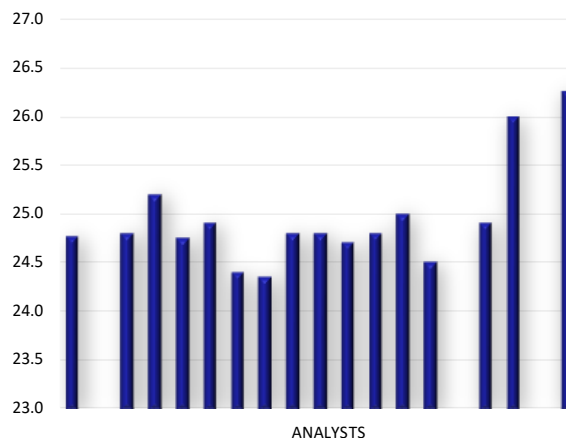
EUR/CZK

ACTUAL DATA, 1Y PREDICTIONS AND THEIR RANGE



EUR/CZK AT 1Y

PREDICTIONS OF INDIVIDUAL ANALYSTS



VI. NOMINAL WAGES

FORECAST FOR NOMINAL WAGE GROWTH

February 2025	current year	current+1Y
minimum	4.9	4.0
average	5.8	5.1
maximum	7.6	6.7

FORECAST FOR NOMINAL WAGE GROWTH

Date of Prediction	current year	current+1Y
II.24	6.2	5.2
IV.24	6.1	5.1
VII.24	6.8	5.4
IX.24	6.7	5.5
X.24	6.7	5.5
XII.24	6.8	5.7
I.25	5.8	5.1
II.25	5.8	5.1

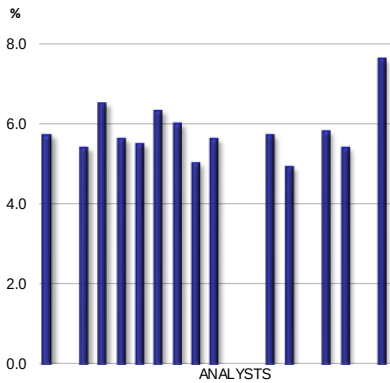
The registered unemployment rate rose by 0.2 percentage point to 4.3% at the end of January, according to the Labour Office of the Czech Republic. This is 0.3 percentage point higher than a year ago. The number of jobseekers therefore rose by 14,038 month on month to 320,516. In contrast, the number of job vacancies fell significantly to 83,323. Here, however, the legislative provision whereby vacancies are automatically removed from the database after 6 months had a noticeable effect.

However, trends in the registered unemployment rate did not bring about a significant shift in analysts' views on the overall labour market situation or on expected nominal wage growth, although they are observing a decline in employment in manufacturing. In their view, workers leaving industry are likely to find employment in other sectors. On average, nominal wages are thus still expected to rise this year by 5.8% year on year. Growth is expected to slow slightly to 5.1% next year. Although nominal wage increases are outpacing inflation, analysts said real wage growth had not yet led to a return to pre-pandemic real wage levels. According to some estimates, this should not happen until 2026.

The CNB's winter forecast expects nominal wages to increase by 6.1% in 2025, slowing to 5% in 2026.

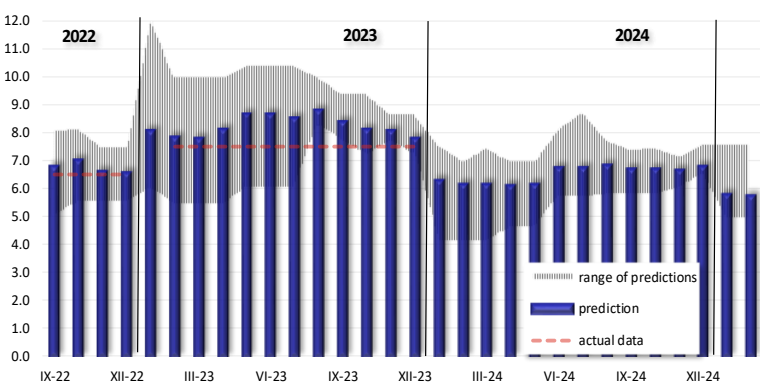
INDIVIDUAL 1Y PREDICTIONS

OUTLOOK FOR THIS YEAR



NOMINAL WAGE GROWTH

END OF CURRENT YEAR: AVERAGE AND RANGE OF PREDICTIONS (%)



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